

Important: Operating Cash Flow (OCF) Calculation

When calculating OCF with interest expense:

1. Always calculate taxes based on EBT (EBIT - Interest), not EBIT
2. The formula is: $OCF = EBIT + Depreciation - Taxes$
3. Where $Taxes = (EBIT - Interest) \times Tax\ Rate$

Common mistake: Using $EBIT \times Tax\ Rate$ for taxes ignores the tax shield from interest expense.

Example:

- $EBIT = \$192,200$
- $Interest = \$2,330$
- $Tax\ Rate = 21\%$
- Correct: $Taxes = (\$192,200 - \$2,330) \times 0.21 = \$39,872.70$
- Incorrect: $Taxes = \$192,200 \times 0.21 = \$40,362$